

After the recovery from the pandemic, since FY22, Nifty large-cap 100 stocks have posted a 67% profit surge and Nifty small-caps gained 72%. With a 165% profit gain in the past four years, Nifty mid-cap stocks emerged as outperformers.

The sector-wise distribution of profits of Nifty 500 companies in FY26 shows that among the major sectors, banking had the highest contribution at 23%, making it the dominant individual sector.

The oil and gas sector accounted for 13% of total profits, followed by finance at 11% and IT at 8%. The automotive and power sectors each contributed 5%, representing the smallest shares in the distribution.

Sector-wise, the earnings recovery was uneven. Financials and commodity-linked industries emerged as the biggest contributors. Oil and gas recorded one of the strongest performances, with profit rising 50%. The improvement was supported by better profitability among oil companies.

The strongest growth was posted by iron and steel companies, which saw a 188% surge in PAT. Power companies also reported healthy growth, with profits increasing 18%.

According to a report by Motilal Oswal Financial Services Ltd (MOFSL), the aggregate earnings of companies in the MOFSL Universe, covering 359 businesses across large-cap, mid-cap and small-cap segments, grew 16% year-on-year in the quarter, significantly ahead of the estimated 8% increase.

RECOVERY, BUT WITH RISKS

Invesco's Khemani says an improvement in profits became visible around the December quarter. "In fact, several high-frequency indicators, such as credit growth, suggest that economic activity strengthened in the March quarter," he says.



"Future corporate performance will hinge on evolving macroeconomic conditions. Since the war started, there are changes in macroeconomic parameters and input costs... none of these got reflected in the last results season"

SHREYASH DEVALKAR

HEAD OF EQUITY, AXIS MF



"While corporate India remains on a strong footing with healthy balance sheets and robust cash flow profiles, an acceleration in earnings growth from the current levels is necessary"

ADITYA KHEMANI

FUND MANAGER, INVESCO MUTUAL FUND

"It is also important to note that commodity prices spiked during March due to the ongoing West Asia crisis. As a result, a clear theme in the March quarter was that commodity producers outperformed commodity consumers."

The broader picture suggests Indian firms have entered a stronger but more selective growth phase, dependent more on sector-specific drivers. Financials, metals, power, manufacturing and some others remain key earnings drivers while consumer and technology firms face a challenging environment.

The rising capex cycle indicates confidence among companies, but

geopolitical uncertainties, commodity prices, and global demand remain important factors.

Any resolution of the conflict in West Asia could lead to a sharp decline in commodity prices, especially crude oil, with a positive impact on the economy, Khemani says.

He has a word of caution for investors: "It is important to remember that the global environment is far more volatile than in the past. Therefore, investors should maintain a minimum investment horizon of four to five years when participating in equity markets." **BT**

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